

COVER LETTER

To, **The Assessing Officer, Income-tax Department** — National e-Assessment Centre / jurisdictional assessment unit (per proceeding reference on the e-Proceedings portal)

Re: Reply to notice u/s 142(1) DIN ITBA/AST/F/142(1)/2026-27/1091691350(1) dated 31-Jul-2026 — PAN ARQPG9033N — AY 2025-26 (143(3) proceedings; 143(2) DIN ITBA/AST/S/143(2)/2026-27/1090008156(1) dated 20-Jun-2026; return Ack 522131170310725 dated 31-Jul-2025)

Respected Sir/Madam,

1. The assessee is a salaried individual (TechAspect Solutions Pvt Ltd, Hyderabad). The return for AY 2025-26 was filed on 31-Jul-2025 (ITR-2, Ack 522131170310725, old regime) and processed u/s 143(1) on 18-Feb-2026 with refund ₹1,40,880 (incl. interest ₹7,343).
2. Point-wise replies to all eight requisitions follow, with documents as Annexures P1–P8 and Z.
3. **Corrective disclosure:** In preparing the documents called for, the assessee identified four inaccuracies, all disclosed upfront with workings: | # | Item (requisition) | Income effect ₹ | Tax effect ₹ | |---|---|---|---| | 1 | Schedule VDA understated (demand #8): income u/s 115BBH is **₹38,860**, not ₹113 — ClearTax import aggregated 6,223 trades into a garbled ₹259/₹113 entry | +38,747 | +12,089 | | 2 | IFOS interest cluster mapped exactly to 26AS figures (demands #2/#7 reconciliation) | +2,129 | +664 | | 3 | 80CCD(1B) NPS Tier-I per Statement of Transactions = **₹25,200** (6×₹4,200), not ₹50,000; the payroll-era estimate had been claimed — SOT enclosed per demand #6 | +24,800 | +7,738 | | 4 | 80D ₹25,000: no premium payment by the assessee is traceable in any of the five bank statements furnished; absent the payment evidence required by requisition #6(c)–(e), the claim is withdrawn | +25,000 | +7,800 | | | **TOTAL** | **+90,676** | **+₹28,291** (bottom-up recompute ⇒ ₹8,70,640 total; +₹28,290, ₹1 utility rounding) |
4. Net effect: corrected total income ₹34,15,510 (vs ₹33,24,840); corrected tax ₹8,70,640 (vs ₹8,42,350); TDS credits ₹9,75,916.14 (all 26AS figures now fully claimed, incl. ₹31.14 earlier missed) ⇒ recomputed refund ≈ **₹1,05,276** vs ₹1,40,880 received ⇒ ≈ **₹35,604 stands refundable to the Department** in the 143(3) order. The assessee undertakes to pay the differential with applicable interest immediately upon quantification and **consents to adjustment u/s 245 against the pending AY 2026-27 refund** for expedited closure. Interest u/s 234A NIL (timely return); 234B/234C prayed NIL — TDS credits exceeded 90% of the recomputed liability in every quarter of FY 2024-25.
5. The inaccuracies were bona fide; the larger part of tax on the corrected figures stands pre-paid via TDS (incl. ₹52,279 u/s 194S). This reply is itself the first disclosure of the corrections. It is prayed that no penalty be initiated u/s 270A — the explanation for each correction is bona fide and all material facts are disclosed (s.270A(6)); alternatively, immunity may be granted u/s 270AA upon payment.

P1 — Nature of activities during FY 2024-25 (demand #1)

Solely: (i) **salary** from TechAspect Solutions Pvt Ltd (sole employer, Hyderabad); (ii) **investment activity in personal capacity** — mutual funds/equity (Groww, Zerodha), Invoice-discounting/alternative platforms (Transactree/Lendbox, Ikshavaku/TradeCred, Navi, Vivriti, UGRO, InCred, Profectus etc.), asset-leasing platforms (**TapInvest** = Purple Petal Invest Pvt Ltd equipment leasing; **Ultra** platform equipment lease to Excitel Broadband), and **VDA (crypto)** trading on **CoinSwitch** (Bitcipher Labs LLP; TDS u/s 194S at source on every sell transfer). **No business/profession; no F&O; no foreign assets; no cash deposits of significance.** All investments funded from own salary routed through the five accounts at P3. (Requirement (2)'s "financial statements, if any": not applicable — no business; bank/platform statements are the complete financial record.)

P2 — ITR + 26AS + computation + reconciliation (demand #2)

Enclosed: filed return JSON+PDF (P2-A), Form 26AS (P2-B), head-wise computation (P2-C), corrected-computation summary (Annexure Z). - **Salary** 40,23,083 ↔ 26AS 192 gross 40,23,083; TDS 9,19,053 ✓ exact tie. - **26AS 194S cluster:** Bitcipher Labs LLP gross ₹52,29,329.97 / TDS ₹52,279.39 ↔ CoinSwitch workbook

consideration ₹52,39,849.05 — full table at P8; TDS claimed in full. - **Interest/dividend clusters** per P7 table (every 26AS row mapped; IFOS tried to 26AS, +₹2,129). - **26AS Part-VI row (HDFC, 08-Aug-2024, ₹8,933.66)**: verified on the bank statement as an **Amazon Marketplace card purchase** (bank LRS-tagged) with Tax Collected ₹0.00 / TCS Deposited ₹0.00 — **no credit exists; NIL claim**. - **Σ TDS per 26AS = ₹9,75,916.14** vs ₹9,75,885 claimed ⇒ ₹31.14 extra credit **now claimed**.

P3 — Bank statements of all accounts, with narrations & source of credits (*demand #3*)

- **Declaration:** In PY 2024-25 the assessee held/operated **exactly five** accounts; statements of ALL five enclosed (P3-A): HDFC 00101130003550 (salary/operating), SBI 40092818384 (HL servicing), IDFC FIRST 10056816452 (investment routing), Kotak 2112302126 (savings/FD), Jio Payments 001620421000864 (expenses/NPS rail). **No other bank account was held or operated during PY 2024-25** (any sweep FD balances operate within these five accounts); no current/CC/OD account; no significant cash deposits.
- **Narration/source index (Annexure P3-B):** generated mechanically from the statements, **chain-validated (running balance per account; exact tie to SBI printed totals)** — every entry ≥ ₹10,000 classified. Source-of-credit summary of all non-trivial credits: | Credit(s) | Source (as per statement narration) | |---|---| | 13 × ~₹2.4L (TechAspect, NEFT DEUT0796DEL) | Salary — sole employer (ties Form 16) | | ₹32,300 08-Aug-2024 (ITDTAX REFUND 2024-25, SBI Tax-Banking Unit SBIN0000TBU, UTR SBIN224221939574) | **Income-tax refund AY 2024-25** (rev. return Ack 729904820150724: refund ₹32,310 → net 32,300) — own tax back, not income | | Monthly ₹5,141.85 × 12 + ₹2,070.11 / ₹51,522.55 / ₹61,021.10 / ₹61,350.56 / **₹51,106.81 (CMS4382927330 06-Aug-24)** / ₹50,850.76 / ₹51,125.33 (Purple Petal Invest Pvt Ltd collection escrow, ICIC00999999) | **TapInvest asset-leasing platform** — equipment-lease rentals (income in IFOS) + maturity/redemption of own investment principal (capital); funding legs visible as debits (₹49,392 05-Jun-24; Soulspace group entity 43,726.91+14,173.78) | | ₹42,19,245 18-Feb-2025 "FOR LOAN CLOSURE" | **HDFC Ltd takeover loan 703764316 disbursal** — refinance of SBI HL; same-day debit ₹42,21,242 = SBI HL foreclosure — capital, not income | | ₹10,460.74 Transactree Technologies; up to ₹77,290 Ikshavaku Software Ventures; Navi/Vivriti/UGRO/InCred/Profectus clusters | **Lendbox P2P / TradeCred invoice-discounting / alt-platform** principal redemptions + coupons (interest in IFOS per 26AS) | | 11 × ₹45,000 from HDFC (HOME LOAN <month>), plus inter-account "SAVINGS/SIP" entries HDFC↔SBI↔Kotak↔IDFC (UTR-matched both sides) | **Own transfers** between own accounts | | ₹40,001 Putul Rani Gorai 04-Mar-2025; ≈₹1.65L across year Mrs. Priyanka Gorai | Family exchanges with **mother / wife** — no income element | | ₹15,000 Priyanshu Kumari 30-Nov-2024 and small reciprocal entries | Family exchanges with **sister-in-law** (₹1,00,000 was additionally advanced to her on 23-Feb-2025 towards family need) | | Excitel Broadband monthly | Ultra-platform equipment lease rental — declared IFOS (26AS 194-I(a)) | | Savings-interest credits (quarterly) | Bank interest — declared IFOS/80TTA |
- All debits ≥ ₹10,000 likewise classified in P3-B (MF SIPs incl. "TP ACH INDIANESIGN" e-mandates & ICCL ACH tallying AIS MF purchases ₹13,69,760; NPS ₹25,200 via Jio rail; LIC ₹52,782; tuition ₹65,000; ₹4,01,000 HL servicing; ₹50,100 crypto funding with three auto-reversed IMPS legs; family maintenance ₹10,000/month to mother; household/travel/medical spends).

P4 — Form 16 (Part A & B) (*demand #4*)

Enclosed (P4-A, Cert SHYODPA dt 04-Jun-2025): **gross salary ₹40,23,083, TDS ₹9,19,053** — exact tie to 26AS and the return. TDS within Form 16 reconciles to the March-YTD payroll figure (₹8,55,169 + one-time ₹63,884).

P5 — 24(b) interest ₹2,00,000: property, loan, repayment, purpose (*demand #5*)

- **Property & ownership:** Registered Absolute Sale Deed **BNS-I-5063-2021-22 (16-Aug-2021)** — purchasers **Chandrakant & Priyanka Gorai**; Flat C-114, 'C' Block, Mukunda Brundhavan, Kodigehalli (1,425 sft + 584 sft UDS; RERA PRM/KA/RERA/1251/446/PR/200121/003220); **consideration ₹44,26,500 ≤ ₹45L** (also satisfies the 80EEA SDV condition); deed records SBI RACPC loan. Sole-earner basis: all consideration/EMIs paid solely by assessee (bank-proven); spouse is co-borrower for eligibility only. *Enclosed: deed extracts pp1/2/3/6 (P5-A).*

- **Loan details & sanction window:** SBI HL 40108253827, **sanctioned 31-Mar-2021** (within the s.80EEA window), ₹44,00,000 ≤ ₹45L; purpose: **purchase** of the above flat. *Enclosed (P5-C): SBI sanction/arrangement letter (4 pages, RACPC Banaswadi; application dated 27-Mar-2021; property described therein; margin ₹11.5L; floating rate 6.75% = repo + 2.15%); SBI FY2023-24 interest certificate (records sanction date 31-Mar-2021 and loan a/c no.); foreclosure letter (18-Jan-2025: outstanding ₹42,01,075; closure value ₹42,19,245).*
- **Source of repayment (own income):** SBI a/c ...8384 shows 11 EMI × ₹31,000 (DIRECT DR) + 6 part-prepay × ₹10,000 = **₹4,01,000 in FY 2024-25**, funded by 11 own UPI × ₹45,000 from the salary account HDFC ... 3550 ("HOME LOAN <month>").
- **Interest quantum (bank's own ledger):** SBI CASLOAN statement (enclosed, P5-B) posts monthly interest **33,035 + 31,987 + 33,059 = ₹98,081 for Oct-Dec-2024 alone @9.25%** ⇒ SBI FY interest ≈ **₹3.39L** + HDFC-takeover slice 18-Feb→31-Mar ≈ ₹0.30L ⇒ ≈ **₹3.7L ≥ ₹3.5L claimed** (24(b) cap ₹2.0L + 80EEA ₹1.5L). Derived-interest table enclosed; SBI final certificate on requisition.

P6 — Chapter VI-A ₹3,83,505: section-wise + eligibility + proofs + payment source (*demand #6*)

Section	Filed	Evidence position	Corrected	Proof enclosed (P6)	Source
80C	1,50,000	Fully evidenced	1,50,000	LIC ₹52,782 (premium stmt) + tuition ₹65,000 (Sristi receipts) + EPF ₹21,600 (₹1,800×12 payroll deduction) + HL principal ₹42,473 (SBI repayment trail): aggregate ₹1,81,855 → cap	Payroll/own accounts
80CCD(1B)	50,000	SOT shows 6×₹4,200 = ₹25,200 (3,150/420/630 rows = E/C/G scheme-splits of each 4,200)	25,200	NPS Tier-I Statement of Transactions FY24-25 (enclosed) — correction #3	Own account (Jio rail)
80D	25,000	No assessee-paid premium traceable in the five statements furnished; payment evidence per #6(c)–(e) not available	0	— correction #4	—
80EEA	1,50,000	Per P5	1,50,000	Per P5	Per P5
80TTA	8,505	SB-interest credits across five statements	8,505	Statement lines	—

Eligibility notes: 80C/80TTA/80EEA per statute. For **80EEA**: loan sanctioned 31-Mar-2021 — within the statutory window then in force; stamp-duty value ₹44,26,500 ≤ ₹45L; sanction ₹44L ≤ ₹45L; and the assessee did not own any residential house property on the date of sanction (first-home condition satisfied). **Corrected VI-A = ₹3,33,705.**

P7 — IFOS as declared (*demand #7*)

Source	Filed ₹	26AS ₹	Note
Dividend	8,009	8,009	✓
Savings interest	8,505	8,505	✓ (80TTA-linked)
Deposit interest	4,807	4,807	✓
Equipment-lease rental (Ultra platform → Excitel Broadband)	12,240	12,245.76 (194-I(a), TDS 367.36)	✓
Interest — securities/P2P/invoice-discounting platforms	38,170	40,297.43	Trued to 26AS: +₹2,129 (correction #2) ⇒ IFOS = ₹73,860

P8 — 26AS 194S receipts vs Schedule VDA (*demand #8 — the central query*)

1. **Figures:** 26AS shows 194S gross ₹52,29,329.97 / TDS ₹52,279.39 (Bitcipher Labs LLP/CoinSwitch, TAN BLRB16129B); the return's Schedule VDA showed consideration ₹259 / income ₹113.

2. **Why ₹52.3L "receipts" on a ₹50,100 corpus:** CoinSwitch's "Smart Invest" bot executed **6,223 sell-transfers** between 22-Jan-2025 and 31-Mar-2025 (BTC 2,594; XRP 1,668; SOL 1,119; ETH 840; VTHO 1; USDT 1) — $\approx 104\times$ churn of a small corpus. Fiat funding net ₹50,100 (legs mapped in P3; three direct IMPS attempts auto-reversed same-day); VDA holdings **NIL** on 31-Mar-2025. The ₹52.3L is turnover, not income.
3. **The error (owned):** ClearTax's 5-row VDA import aggregated the 6,223 trades into a garbled ₹259/₹113 entry, filed in bona fide mistake.
4. **Correct computation u/s 115BBH (per-transfer; no loss set-off u/s 115BBH(2)(b); no fee deduction u/s 115BBH(2)(a)):** consideration ₹52,39,849.05 – cost ₹52,12,523.51 = ₹27,325.54; **5,089 profit-transfers $\Rightarrow$ income ₹38,859.70 $\approx$ ₹38,860**; 1,097 loss-transfers ₹(–11,534.16) NOT netted; fees ₹20,887.09 NOT deducted. Cross-tie to the paisa $\checkmark$. Exchange tax workbook enclosed (**P8-A**); mechanical per-asset & monthly extract (**P8-B**). TDS-side: workbook TDS column ₹52,277.60 vs 26AS ₹52,279.39 — the higher 26AS figure (revised-statement pairs marked "G") is claimed.
5. **Consolidated correction (all four items):** | # | Addition ₹ | Tax ₹ | |---|---|---| | 1 VDA (38,860 – 113) | 38,747 | 12,089 | | 2 IFOS | 2,129 | 664 | | 3 80CCD(1B) (50,000 – 25,200) | 24,800 | 7,738 | | 4 80D withdrawal | 25,000 | 7,800 | | **Total** | **90,676** | **28,291** (bottom-up recompute: ₹8,70,640; +₹28,290, ₹1 rounding) |

Corrected TI ₹34,15,510; corrected tax ₹8,70,640; credits ₹9,75,916.14 $\Rightarrow$ recomputed refund $\approx$ ₹1,05,276 (vs ₹1,40,880 received $\Rightarrow \approx$ **₹35,604 to the Department** in the 143(3) order; 234A NIL; 234B/C prayed NIL — TDS > 90% of recomputed tax every quarter). Undertaken to pay on quantification; consent to s.245 adjustment against the pending AY 2026-27 refund. 6. **Penalty:** position bona fide; disclosed suo motu in this reply; all material facts disclosed; TDS fully traceable — prayed that no penalty be initiated u/s 270A (s.270A(6)); alternatively immunity u/s 270AA upon payment.

ANNEXURES (upload set — exactly what the eight requisitions call for)

- **P1** activities note (this letter) · **P2-A** filed ITR · **P2-B** Form 26AS · **P2-C** computation · **P3-A** five bank statements · **P3-B** narration/source index (chain-validated) · **P4-A** Form 16 A&B · **P5-A** sale-deed extracts pp1/2/3/6 + foreclosure letter · **P5-B** CASLOAN loan statement (interest ₹98,081 Oct–Dec @9.25%) + derived-interest table · **P5-C** SBI sanction letter (application 27-Mar-2021, ₹44L, flat C-114) + SBI FY23-24 interest certificate (sanction date & loan a/c) · **P6** LIC statement, Sristi tuition receipts (₹65,000), **NPS Tier-I SOT (₹25,200)** · **P8-A** CoinSwitch tax workbook · **P8-B** 6,223-trade extract · **Z** corrected-computation summary.
- **Completeness:** the enclosed set answers every item called for in the eight requisitions; any further document, if specifically required, will be furnished immediately upon requisition.

Yours faithfully, **Chandrakant Gorai** Place: Bengaluru · Date: 11-Aug-2026 · Enclosures: Annexures P2–P8 & Z, as indexed above